Olist marketplace: where to invest first

To: Head of Operations · **From:** Analytics · **Date:** 18 October 2026 · **Basis:** 99,441 orders, Sep 2016 – Aug 2018

SITUATION

Revenue grew 6.5× in 2017, then plateaued at R$0.85–1.0M a month through 2018. Growth has come entirely from new customers (only 3 in 100 ever reorder), and the 4.16 average review score is held down by one fixable operational problem.

THREE FINDINGS

1. Late delivery is the main cause of bad reviews. Late orders average 2.27 stars against 4.29 for on-time orders. Only 6.7% of orders are late, yet they produce 32.5% of all 1–2 star reviews. The penalty holds in every state and category and starts at once: one to three days late already costs a full star. Lateness clusters in the North-East (Alagoas 21%, Maranhão 17%, Sergipe 15%, Ceará 14%) and in bulky categories such as office furniture.

2. Repeat customers are rare but worth 2.3× as much. Repeat buyers spend R$309 over their lifetime versus R$134 for one-time buyers. The 14,446 "Potential Loyalists" (recent, high-value, one order) already produce 28% of revenue and are the cheapest group to convert; half of all repeat purchases happen within 28 days.

3. A few sellers carry the business, and some underperform. 18% of sellers generate 80% of revenue. Twenty of the top 100 sit in the bottom quartile for delivery and reviews while carrying 8.6% of revenue (about R$1.1M).

RECOMMENDATIONS, IN PRIORITY ORDER

1. **Fix on-time delivery where it fails: North-East routes and bulky categories.** Set promise dates by region and category, and add carrier capacity before the November peak. Halving the late rate removes one in seven 1–2 star reviews and lifts the average from 4.16 to 4.23; eliminating lateness reaches 4.29.
2. **Launch a post-delivery second-purchase programme for Potential Loyalists.** Review request, category-matched recommendation and free-shipping voucher within four weeks of delivery, tested A/B. Each one-point rise in repeat rate is worth about 930 orders, roughly R$130k a year.
3. **Run a seller-health programme, starting with the 20 at-risk top-100 sellers.** Monthly scorecard (on-time %, review, cancellation) and a 30-day improvement plan for accounts below threshold; move the long tail (3% of revenue) to self-serve.

EXPECTED IMPACT

Together these protect R$1.1M of at-risk seller revenue, raise the review score by 0.1–0.13 points and make retention a measurable, segment-level KPI. Revenue is otherwise forecast flat at about R$0.85M a month (R$5.1M over six months, 80% range R$3.6–6.6M), so these levers are the growth plan.

DATA LIMITATIONS

Observational data: lateness is associated with, not proven to cause, low reviews. Twenty months of history limit the forecast; the data ends in August 2018.